Birchline Marine Corp.
Consolidated Income Statements

	Year Ended December 25, 2021	Year Ended December 31, 2022	Year Ended December 30, 2023
Revenue:			
Product sales	$ 3,132,939	$ 3,705,905	$ 4,282,674
Service revenue	1,890,045	2,340,042	2,299,523
Total revenue	5,022,984	6,045,947	6,582,197
Cost of revenue	1,945,494	2,252,237	2,407,283
Gross margin	3,077,490	3,793,710	4,174,914
Operating expenses:			
Research and development	151,628	175,991	191,933
Selling, general and administrative expenses	2,446,225	4,119,943	3,549,896
Restructuring charges	18,580	31,352	53,710
Total operating expenses	2,616,433	4,327,286	3,795,539
Income (loss) from operations	461,057	(533,576)	379,375
Interest expense	40,433	35,954	52,659
Other income, net	(13,967)	(11,492)	(4,891)
Income (loss) before income taxes	406,657	(581,022)	321,825
Income tax expense (benefit)	87,600	(20,730)	69,326
Net income (loss)	$ **319,057**	$ **(560,292**)	$ **252,499**
Net income per share:			
Basic	$ 2.15	$ (3.79)	$ 1.68
Diluted	$ 2.10	$ (3.79)	$ 1.65
Weighted average shares outstanding:			
Basic	148,241	147,799	149,942
Diluted	152,287	147,799	153,049

Birchline Marine Corp.
Consolidated Balance Sheets

	December 31, 2022	December 30, 2023
Assets		
Current assets:		
Cash	$ 451,761	$ 445,424
Trade receivables, net	526,449	589,083
Inventory	372,912	432,856
Other current assets	132,331	143,305
Total current assets	1,483,453	1,610,668
Property, plant and equipment, net	2,221,071	2,274,788
Deposits and other assets	140,270	154,357
Total assets	$ **3,844,794**	$ **4,039,813**
LIABILITIES AND SHAREHOLDERS' EQUITY		
Current liabilities:		
Accounts payable	$ 238,973	$ 248,588
Accrued expenses and other liabilities	239,705	217,626
Current portion of long-term debt	52,681	40,111
Total current liabilities	531,359	506,325
Long-term debt, net of current portion	762,095	721,984
Other non-current liabilities	105,930	105,930
Total liabilities	1,399,384	1,334,239
Commitments and contingencies		
Shareholders' equity:		
Common stock, $0.001 par value; 380,000 shares authorized; 147,799 and 151,441 shares issued and outstanding at December 31, 2022 and 2023, respectively	150	150
Additional paid-in capital	1,489,023	1,561,715
Retained earnings	956,237	1,143,709
Total shareholders' equity	2,445,410	2,705,574
Total liabilities and shareholders' equity	$ **3,844,794**	$ **4,039,813**

Birchline Marine Corp.
Consolidated Statements of Cash Flows

	Year Ended December 25, 2021	Year Ended December 31, 2022	Year Ended December 30, 2023
OPERATING ACTIVITIES			
Net income (loss)	$ 319,057	$ (560,292)	$ 252,499
Adjustments to reconcile net income (loss) to net cash provided by operating activities:			
Depreciation and amortization expense	237,233	191,928	197,525
Stock-based compensation expense	133,379	88,580	46,638
Changes in operating assets and liabilities:			
Accounts receivable	(39,878)	(44,044)	(62,634)
Inventories	(26,946)	(80,030)	(59,944)
Prepaid expenses and other current assets	(36,941)	2,289	(10,974)
Accounts payable	49,922	8,618	9,615
Accrued liabilities	29,332	32,670	(22,079)
Net cash provided by (used in) operating activities	665,158	(360,281)	350,646
INVESTING ACTIVITIES			
Capital expenditures	(269,487)	(380,375)	(251,242)
Other, net	(25,265)	(14,746)	(14,087)
Net cash used in investing activities	(294,752)	(395,121)	(265,329)
FINANCING ACTIVITIES			
Proceeds from borrowings	—	290,000	—
Repayment of debt	(69,301)	(31,521)	(52,681)
Dividends paid	(82,169)	—	(65,027)
Proceeds from issuance of common stock	24,200	11,468	26,054
Net cash provided by (used in) financing activities	(127,270)	269,947	(91,654)
Net increase (decrease) in cash and cash equivalents	243,136	(485,455)	(6,337)
Cash and cash equivalents, beginning of period	694,080	937,216	451,761
Cash and cash equivalents, end of period	$ **937,216**	$ **451,761**	$ **445,424**